



PAPER – 1: FINANCIAL REPORTING



QUESTIONS

Case Scenario I

HIJ Ltd. is a globally diversified business conglomerate with operations spanning multiple business segments across various regions worldwide. For maintaining its financial records, the company follows Indian Accounting Standards. As the finance team diligently finalizes the books of accounts and prepares the financial statements for the financial year ending on 31st March 20X2, it requires insights and accounting suggestions on the following transactions:

- (i) On 1st October 20X1, HIJ Ltd. subscribed for 40 million ₹ 1 loan notes in Z Ltd. The loan notes were issued at 90 paise and were redeemable at ₹ 1.20 on 30th September 20X6. Interest is payable on 30th September in arrears at 4% of par value. This represents an effective annual rate of return for HIJ Ltd. of 9.9%. HIJ Ltd.'s intention is to hold the loan notes until redemption.
- (ii) On 1st April 20X1, HIJ Ltd. commenced joint construction of a property with G Ltd. For this purpose, an agreement has been entered into that provides for joint operation and ownership of the property. All the ongoing expenditure, comprising maintenance plus borrowing costs, is to be shared equally. The construction was completed on 30th September 20X1 and utilisation of the property started on 1st January, 20X2 at which time the estimated useful life of the same was estimated to be 20 years.

Total cost of the construction of the property was ₹ 40 crores. Besides internal accruals, the cost was partly funded by way of loan of ₹ 10 crores taken on 1st January, 20X1. The loan carries interest at an annual rate of 10% with interest payable at the end of year on 31st December each year. The company has spent ₹ 4,00,000 on the maintenance of such property.

The company has recorded the entire amount paid as investment in Joint Venture in the books of accounts. Suggest the suitable accounting treatment of the above transaction as per applicable Ind AS.

On the basis of the facts given above, chose the most appropriate answer to Questions 1 to 5 below based on the relevant Indian Accounting Standards (Ind AS).

1. What would be the initial measurement of financial instruments as subscription of loan notes in Z Ltd.?
 - (a) ₹ 40 million
 - (b) ₹ 37.782 million
 - (c) ₹ 38.4 million
 - (d) ₹ 36 million
2. What would be the closing balance of financial instruments (as subscription of loan notes in Z Ltd.) as on 31st March 20X2?
 - (a) ₹ 37.6 million
 - (b) ₹ 34.218 million
 - (c) ₹ 37.782 million
 - (d) ₹ 36.182 million
3. With respect to point (ii), what is the nature of the agreement?
 - (a) Agreement is in the nature of Joint venture
 - (b) Agreement is in the nature of Joint Operations
 - (c) Agreement is in the nature of Holding subsidiary relationship
 - (d) Agreement is in the nature of Associates

4. What will the initial cost of PPE appearing in the books of HIJ Ltd.?
 - (a) ₹ 40,50,00,000
 - (b) ₹ 40,00,00,000
 - (c) ₹ 20,25,00,000
 - (d) ₹ 20,00,00,000
5. Calculate the depreciation charge for the year ended 31st March 20X2 to be charged by G Ltd. in its books?
 - (a) ₹ 50,62,500
 - (b) ₹ 1,01,25,000
 - (c) ₹ 1,00,00,000
 - (d) ₹ 50,00,000

Case Scenario II

FA Ltd. is a company which manufactures aircraft parts and engines and sells them to large multinational companies like Boeing and Airbus Industries. Following are the details of some of the transactions entered into by the company:

- i. On 1st April 20X2, the company began the construction of a new production line in its aircraft parts manufacturing shed.

Costs relating to the production line are as follows:

Details	Amount ₹ in lakhs
Costs of the basic materials (list price ₹ 12.5 lakhs less 20% trade discount)	10.00
Recoverable goods and services tax incurred but not included in the purchase cost	1.00
Employment costs of the construction staff for three months till 30 th June, 20X2	1.20
Other overheads directly related to the construction	0.90
Payments to external advisors relating to the	0.50

construction	
Expected dismantling and restoration costs	2.00

The production line took two months to make ready for use and was brought into use on 31st May, 20X2.

The other overheads were incurred during the two-month period ended on 31st May, 20X2. They included an abnormal cost of ₹ 0.3 lakhs caused by a major electrical fault.

The production line is expected to have a useful economic life of eight years. After 8 years, FA Ltd. is legally required to dismantle the plant in a specified manner and restore its location to an acceptable standard. The amount of ₹ 2 lakhs included in the cost estimates is the amount that is expected to be incurred at the end of the useful life of the production line. The appropriate discount rate is 5%. The present value of ₹ 1 payable in 8 years at a discount rate of 5% is approximately ₹ 0.68.

Four years after being brought into use, the production line will require a major overhaul to ensure that it generates economic benefits for the second half of its useful life. The estimated cost of the overhaul, at current prices, is ₹ 3 lakhs.

No impairment of the plant had occurred by 31st March 20X3.

- ii. During the year ended 31st March 20X3, FA Ltd. provided consultancy services to a customer regarding the installation of a new production system related to aircraft parts. The system has caused the customer considerable problems, so the customer has taken legal action against the Company for the loss of profits that has arisen as a result of the problems with the system. The customer has claimed damages to the tune of ₹ 1.6 lakhs.

The legal department of FA Ltd. considers that there is a 25% chance the claim can be successfully defended. The legal department further stated that they are reasonably confident the Company is covered by insurance against these types of loss. The accountant feels nothing needs to be provided for this claim as the Company is suitably covered against any possible losses.

- iii. FA Ltd. has an associate company, Flynet Limited. Following are the information of Flynet Limited for the year ended 31st March 20X3:

Particulars	₹ in lakhs
Net Income after taxes	120
Decrease in accounts receivables	20
Depreciation	25
Increase in inventory	10
Increase in accounts payable	7
Decrease in wages payable	5
Tax charge for the year (deferred tax liabilities)	15
Profit from sale of land	2

On the basis of the facts given above, chose the most appropriate answer to Questions 6 to 10 below based on the relevant Indian Accounting Standards (Ind AS).

6. Which of the following items need to be capitalized in determining the cost of Production Line?
- Abnormal cost of ₹ 0.3 lakhs
 - Recoverable GST of ₹ 1 lakhs
 - Initial estimate of the costs of dismantling and removing the item and restoration of site of ₹ 2 lakhs
 - Initial estimate of the costs of dismantling and removing the item and restoration of site of ₹ 1.36 lakhs
7. Calculate the company's associate Flynet Ltd.'s cash flow from operations.
- ₹ 158 lakhs
 - ₹ 170 lakhs
 - ₹ 174 lakhs
 - None of the above

8. What accounting treatment should be done in FA Ltd.'s books for the year ending 31st March 20X3, as the customer has taken legal action against the Company on the loss of profits that has arisen as a result of the problems with the system?
- (a) Nothing needs to be provided for claim instituted by the customer as the Company is suitably covered against any possible losses.
 - (b) Provision of ₹ 1.6 lakhs should be recognised with a corresponding charge to profit or loss.
 - (c) Provision of ₹ 0.4 lakhs as per best possible outcome should be recognised with a corresponding charge to profit or loss.
 - (d) Contingent Liability would be disclosed in the 31st March 20X3 financial statements. Charge to profit or loss if any would be recognised in the period when the claim is settled.
9. Compute the total amount to be charged to the Statement of Profit and Loss with respect to Production Line for the year ending 31st March 20X3 and the balance of Provision for Dismantling Cost carried to Balance Sheet.
- (a) ₹ 1.70 lakhs; ₹ 1.36 lakhs
 - (b) ₹ 1.42 lakhs; ₹ 1.70 lakhs
 - (c) ₹ 1.76 lakhs; ₹ 1.42 lakhs
 - (d) ₹ 1.42 lakhs; ₹ 1.76 lakhs
10. Compute the cost of the production Line to be capitalized initially on 31st May, 20X2.
- (a) ₹ 13.26 lakhs
 - (b) ₹ 14.60 lakhs
 - (c) ₹ 13.96 lakhs
 - (d) ₹ 15.76 lakhs

Consolidated Financial Statements

11. A Ltd. owns 100% of a subsidiary B Ltd. It disposes of 60% of its interest in the subsidiary for ₹ 360 million and loses control of the subsidiary. It will de-consolidate the subsidiary and account for the remaining 40% interest as an associate using the equity method of accounting. At the disposal date, the fair value of the retained investment in B Ltd. is determined to be ₹ 240 million. The carrying value of the identifiable net assets of the subsidiary is ₹ 440 million, excluding goodwill. There is ₹ 60 million of goodwill recorded related to the previously acquired interests in the subsidiary. A Ltd. tested the subsidiary's goodwill and long-lived assets prior to disposal and there was no impairment. There is ₹ 4 million credit in the available-for-sale reserve and ₹ 10 million credit in the revaluation reserve relating to the subsidiary B Ltd. The tax consequences of the gain have been ignored.

Required:

- (i) Pass Journal Entries for sale of 60% stake of B Ltd. on disposal date
- (ii) Compute gain on 40% retained investment

Ind AS 105: Non-Current Assets Held for Sale and Discontinued Operations

12. A Ltd. has a wholly owned subsidiary B Ltd. A Ltd. sells subsidiary B Ltd. to C Ltd. a listed entity, for shares in C Ltd. and ends up owning 75% of C Ltd.'s shares.

The net assets of B Ltd. prior to the disposal are ₹ 10,00,000 (fair value ₹ 13,00,000) and goodwill previously capitalised and not impaired is ₹ 6,00,000; the carrying value of B Ltd. in A Ltd.'s books is ₹ 15,00,000.

At the date A Ltd. acquired B Ltd., B Ltd.'s profit and loss reserve was ₹ 400,000 and B has since made ₹ 100,000 post acquisition profits.

The position prior to the transaction was as follows: (Amount in ₹)

Consolidation of A Ltd. and B Ltd. before transaction	A Ltd.	B Ltd.	Elim	Consol
Goodwill	-	-	600,000	600,000

Investment in subsidiary	1,500,000	-	(1,500,000)	-
Net assets	<u>10,000,000</u>	<u>1,000,000</u>	<u>-</u>	<u>11,000,000</u>
Total assets	<u>11,500,000</u>	<u>1,000,000</u>	<u>(900,000)</u>	<u>11,600,000</u>
Share capital	2,000,000	500,000	(500,000)	2,000,000
Retained earnings	9,500,000	100,000	-	9,600,000
Pre-acquisition reserves	<u>-</u>	<u>400,000</u>	<u>(400,000)</u>	<u>-</u>
Total equity	<u>11,500,000</u>	<u>1,000,000</u>	<u>(900,000)</u>	<u>11,600,000</u>

The net assets of C Ltd. prior to its acquisition of B Ltd. were ₹ 380,000 (fair value ₹ 500,000). C Ltd. then issued shares worth ₹ 17,50,000 (which is the fair value of the consideration given for the acquisition of 100% of B), being ₹ 600,000 nominal value and ₹ 11,50,000 premium. The balance sheets of the three companies directly after the issue of shares by C Ltd. were as follows: (Amount in ₹)

Summarized balance sheets	A Ltd.	B Ltd.	C Ltd.
Investment in subsidiary	1,750,000	-	1,750,000
Net assets	<u>10,000,000</u>	<u>1,000,000</u>	<u>380,000</u>
	<u>11,750,000</u>	<u>1,000,000</u>	<u>2,130,000</u>
Share capital	2,000,000	500,000	800,000
Additional paid in capital	-	-	1,150,000
Retained earnings	<u>9,750,000</u>	<u>500,000</u>	<u>180,000</u>
Total equity	<u>11,750,000</u>	<u>1,000,000</u>	<u>2,130,000</u>

The parent A Ltd., had an interest in B Ltd. that cost ₹ 15,00,000 and has in effect swapped this for an interest in C Ltd.'s group. In its separate financial statements, A Ltd. states its investment in C Ltd. group at the fair value of the consideration given ₹ 17,50,000.

The non-controlling interest is determined with reference to the proportionate share of the acquired C Ltd.'s net identifiable assets.

Required:

- (i) Compute gain or loss on effective disposal of B Ltd.
- (ii) Compute goodwill on acquisition of C Ltd.

Note:

- a. C Ltd. is not required to prepare consolidated financial statements.
- b. Ignore the possibility that the transaction could be classified as a reverse acquisition of C Ltd. by B Ltd.

Ind AS 28: Investment in Associates and Joint Ventures

13. H Ltd. purchased a 100% subsidiary S Ltd. for ₹ 500,000 at the end of March, 20X3, when the fair value of the S Ltd.'s net assets was ₹ 400,000. H Ltd. sold 60% of its investment in the S Ltd. in March, 20X5 for ₹ 675,000, leaving H Ltd. with 40% investment and significant influence. At the date of disposal, the carrying value of the net assets of S Ltd., excluding goodwill, is ₹ 800,000. The fair value of the investment in S Ltd. retained is proportionate to the fair value of the 60% investment sold.

Required:

Compute gain or loss for H Ltd. on sale of 60% stake in S Ltd. for the purpose of separate financial statements and consolidated financial statements.

Ind AS 41 : Agriculture

14. A Ltd. purchased 100 goats at an auction for ₹ 1,00,000 on 30th September, 20X7. Subsequent transportation costs were ₹ 1,000. A Ltd. would have to incur the same transportation costs if it had sold its goats in this auction. In addition, there would be a 2% auctioneer's fee on the market price of the goats payable by the seller. A Ltd. so incurred ₹ 500 on veterinary expenses.

On 31st March 20X8, the market value of the goats in the most relevant market increases to ₹ 1,10,000. Transportation costs of ₹ 1,000 would have to be incurred by the seller to get the goats to the relevant

market. An auctioneer's fee of 2% on the market price of the goats would be payable by the seller.

On 1st June 20X8, the entity sold 18 goats at auction for ₹ 20,000 and incurred transportation charges of ₹ 150. In addition, there was a 2% auctioneer's fee on the market price of the goats paid by the seller.

On 15th September, 20X8, the fair value of the 82 goats was ₹ 82,820. 42 goats were slaughtered on that day, with a total slaughter cost of ₹ 4,200. The total market price of the carcasses on that day was ₹ 48,300, and the estimated transportation cost to sell the carcasses is ₹ 420. No other selling costs are expected.

On 30th September, 20X8, the market price of the remaining 40 goats was ₹ 44,800. The estimated transportation cost is ₹ 400. In addition, there would be a 2% auctioneer's fee on the market price of the goats payable by the seller.

A Ltd. adopts the fair value model to recognize biological assets, as required by the standard, and reports on 30th September and 31st March each year and determines fair value on these dates.

Pass Journal Entries for the above transactions.

Ind AS 28: Investment in Associates and Joint Ventures

15. Beta Limited (investee) has issued 2,000 equity shares which are outstanding at the reporting date. On this date, Beta issues 1,000 share options to its employees, which can be converted into 1,000 equity shares of Beta. The grant-date fair value of each option issued is ₹ 1. The options will vest over five years and all 1,000 options are expected to vest.

Beta recognises share-based remuneration expense of ₹ 200 in its profit or loss and an offsetting credit to equity in the current year. Alpha Limited (investor) holds 600 shares of Beta. Alpha has significant influence over Beta. Alpha recognises its share of the remuneration expense in its profit or loss as part of income from the equity-accounted investees. It records the offsetting credit as a reduction of its investment in Beta.

At the end of the vesting period, all options vest and are exercised. The exercise price is ₹ 3 per option. The face value per share is ₹ 1.

Required

- (i) Pass journal entries in the books of Beta Limited and Alpha Limited for recording share-based payment expenses for the first year.
- (ii) Pass Journal entries for exercising of option in the 5th year, in the books of Beta Limited.
- (iii) In the books of Alpha Limited, compute the loss on dilution of shares of Beta Limited and pass journal entries for the same. Beta has net assets totalling ₹ 11,000, immediately before the shares are issued.

Ind AS 109 : Financial Instruments

16. Zx issues a fixed-rate loan for ₹ 500,000 and incurs issue costs of ₹ 20,000, resulting in an initial carrying value of ₹ 480,000. The loan carries an interest rate of 8% per annum, and it is repayable at par at the end of year 10. However, under the contract, Zx can call the loan at any time after year 4 by paying a fixed premium of ₹ 30,000. The fair value of the option is ₹ 10,000 at inception. The effective interest rate amounts to 8.30213%.

Required:

- (i) How is the embedded issuer-only call feature accounted for by Zx, the issuer initially?
- (ii) Explain the accounting of the loan when
 - (a) In years 1 and 2, there is no change in interest rate since inception for an instrument of similar maturity and credit rating. The option's fair value (time value) at the end of year 2 is ₹ 6,000.
 - (b) At the end of year 3, interest rates have fallen, and the option's fair value increases to ₹ 9,000.

- (c) At the end of year 4, interest rates have fallen further. The option's fair value increases to ₹ 20,000, and the entity decides to repay the loan at the end of year 4.

Ind AS 21 : The Effects of Changes in Foreign Exchange Rates

17. PQR Ltd. has entered into a fixed price contract on 1st February, 20X2 to provide annual maintenance services worth USD 10,000 which is rendered uniformly throughout the year over a period of two years (1st April, 20X2 – 31st March 20X4) to a foreign customer. As per the terms of the contract, it has received advance payment of USD 3,000 on 1st February, 20X2 and the balance is to be received on 31st March, 20X4.

The entity recognises revenue at the end of every year.

How should the entity account for the said transactions, where the consideration is received in advance?

Ind AS 7 : Statement of Cash Flows

18. A Ltd., whose functional currency is Indian Rupee, had a balance of cash and cash equivalents of ₹ 2,00,000, but no trade receivables or trade payables on 1st April, 20X2. During 20X2-20X3, A Ltd. entered into the following foreign currency transactions:
1. A Ltd. purchased goods for resale from Europe for € 1,00,000 when the exchange rate was € 1 = ₹ 105. This balance is still unpaid at 31st March, 20X3 when the exchange rate is € 1 = ₹ 100.
 2. A Ltd. sold the goods to an American client for \$ 1,50,000 when the exchange rate was \$1 = ₹ 85. This amount was settled when the exchange rate was \$1 = ₹ 87.
 3. A Ltd. also borrowed € 1,00,000 under a long-term loan agreement when the exchange rate was € 1 = ₹ 105 and immediately converted it to ₹ 1,05,00,000.

Recommend how cash flows arising from above transactions would be reported in the statement of cash flows under indirect method.

Ind AS 116 : Leases

19. Wealth Ltd. has entered into lease agreement with a lessor for a period of 5 years at the annual lease rental of ₹ 8 lakhs. There is an option at the end of the said period that lease can be owned by lessee. Other factors to be noted are discount rate of 8% per annum and interest rate implicit in the lease of 10% per annum.

Wealth Ltd. is reasonably certain to exercise the option to purchase the leased asset at the end of lease term and ₹ 56,00,000 is the exercise price agreed in the lease term for purchasing of land at the end of the 5th year. Therefore, the same has been considered in computing the present value of the lease liability.

At the end of the year 3, Wealth Ltd. exercised the option to purchase the land at value of ₹ 56 lakhs, whereas the market value on that date was ₹ 75 lakhs.

For revised discount rate, consider the interest rate implicit in the lease.

Required

- (i) Calculate the lease liability and right of use asset for the lease with the lessor. RoU is depreciated on SLM basis.
- (ii) Provide the amounts reflecting in the balance sheet, profit and loss and statement of cash flows at the end of year 1.
- (iii) What are the accounting entries if Wealth Ltd. decides to purchase the leased property at the end of year 3?

Ind AS 102 : Share-based Payments

20. Max Ltd. enters into a share-based payment arrangement with its employees on the following terms:
- Each employee will receive 500 shares if they remain employed for a period of five years.

- It is expected that no employees are expected to leave during the five year period.
- The grant date fair value of the award is ₹ 4,000.
- If an employee leaves Max Ltd. after the five -year period, but before its shares are listed, the entity has an option to purchase the shares for fair value from the employee.
- On grant date, Max Ltd. expects to list in the list in the next 3-5 years. This is the first share-based plan and Max Ltd. has no past practice or stated policy of buying back shares from employees when the employees leave. Neither does Max Ltd. expect that it will settle the awards in cash.
- At the end of year 2, Max Ltd. on longer expects to list; and the employees are informed of this fact. Max Ltd. announces to employees that if it is not listed after the five years and employees leave, Max Ltd. will repurchase the shares. The fair value of the shares is ₹ 6,000 on this date.
- At the end of year 3, the fair value of the liability has increased to ₹ 9,000

Required

- (i) Determine the accounting for years 1-3.
- (ii) What would be the treatment of the awards, if at the end of year 2, Max Ltd. does not inform employees that it will repurchase the shares after a five-year period, and a listing of the entity's shares is still achievable. But at the end of year 6, Max Ltd. has not yet listed and two of the employees leave. Max Ltd. exercises its settlement choice and buys the leaving employee's shares at fair value.